DISCOUNT PROFITABILITY AUDIT

$13.8M in discounts over ten years. Did they pay for themselves?

Audit of 223,974 order lines, 2016 to 2025, on the Contoso Retail dataset. This is a sample audit on synthetic data: the method carries over to a real business, the numbers do not.

11.3%

of profit given away in discounts: 6.3% of revenue, about $101 per discounted line

61%

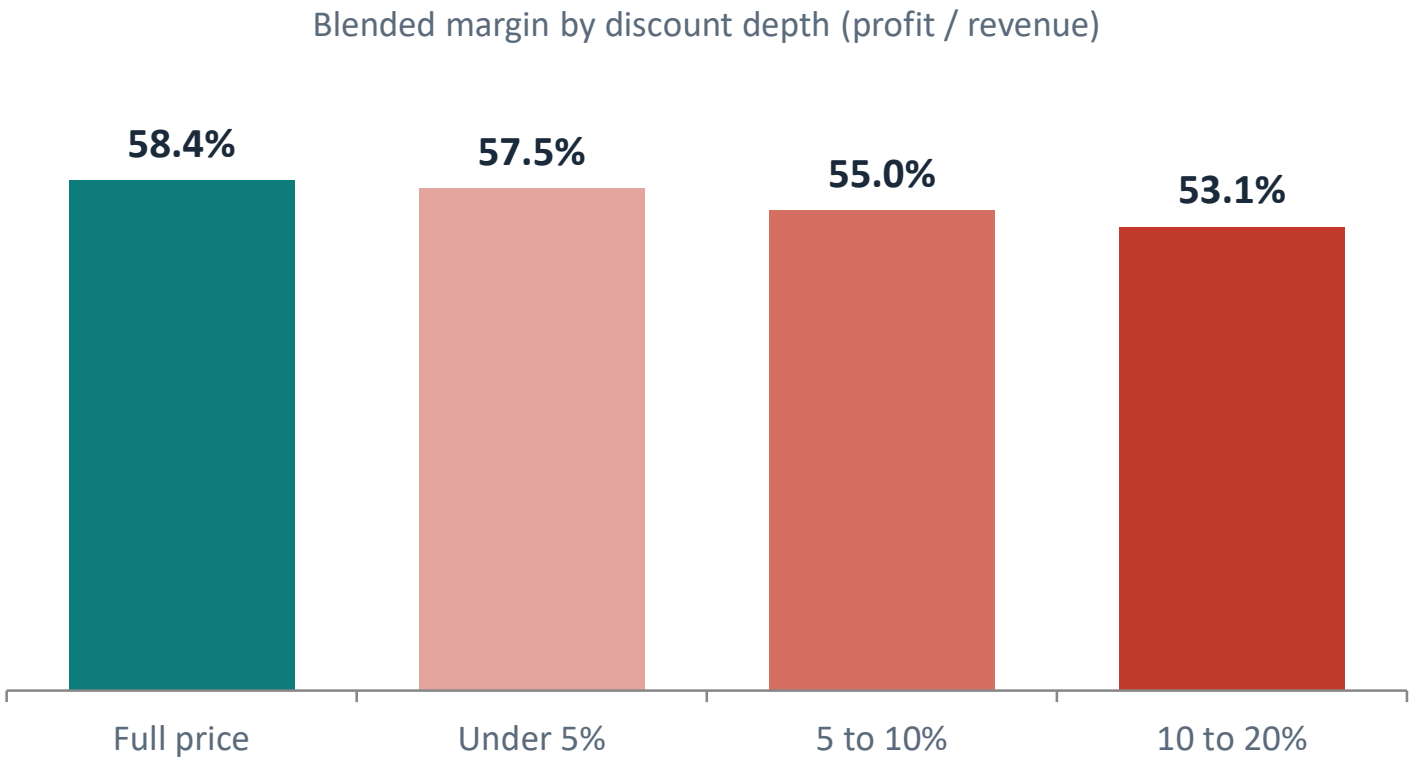
of order lines sold below list price, in every year

1 in 6

discounted sales the discount must win to pay for itself

Zeeshan Akram | MarginLens

The discounts cost $13.8M, and the margin loss is just the price cut



A price cut alone, with cost unchanged, predicts 57.4%, 55.0% and 52.8%. The actual margins are within 0.3 points, so discounted sales carry no hidden extra cost.

6.3%

of revenue given up to discounts

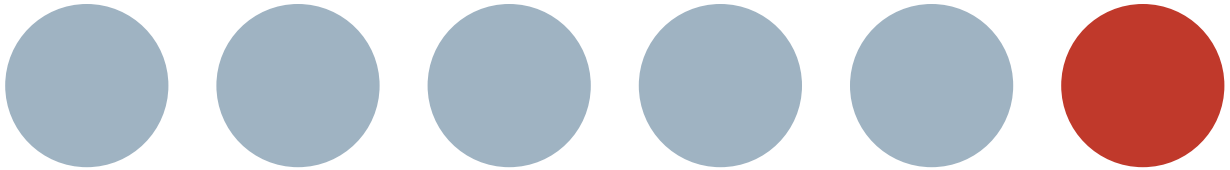
11.3%

of profit: the discounts total $13.8M

$101

given up per discounted order line, on average

The discounts pay off only if they win 1 in 6 discounted sales



5 sell either way

1 needs the discount

If removing discounts would lose more than 1 of every 6 discounted sales, the discounts are paying for themselves. If it would lose fewer, they are costing money.

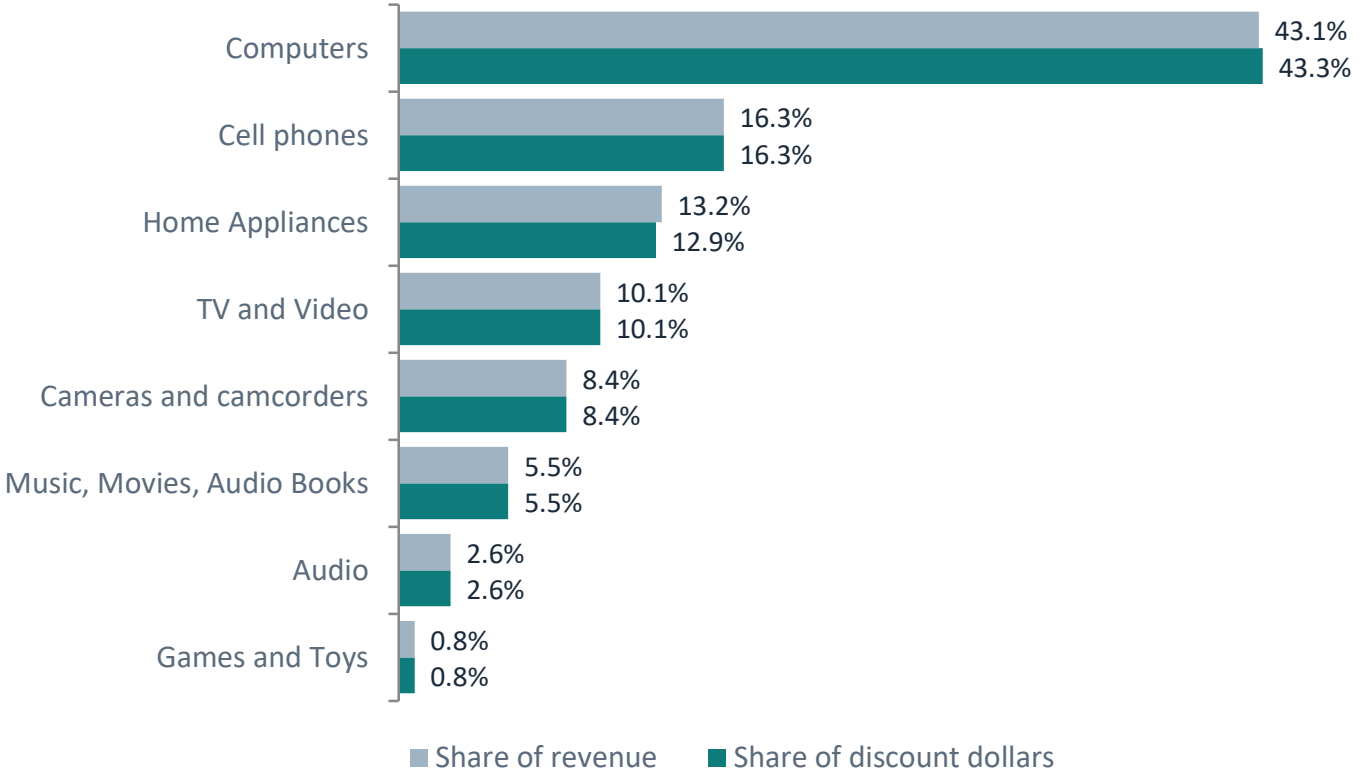
This data has no demand or before-and-after information, so it cannot say which side the business is on. A controlled test can.

The arithmetic

Profit on discounted sales today	**$69.7M**
Discounts given on those sales	**$13.8M**
Same sales, no discount, none lost	**$83.4M**
Share that must stay to break even	**83.5%**

Assumes a lost sale loses all its profit. Ignores repeat purchases, returns and overhead.

Discounting looks like a habit: same in every category, year and location



Every category has about 61% of its lines discounted and gives up about 6.3% of its revenue. Computers and Cell phones hold most discount dollars only because they hold most revenue.

60.9 to 61.9%

of lines discounted in every year from 2016 to 2025

64 locations

no location differs from the rest by more than chance

3,826 customers

with 10+ lines: rates cluster at the 61% average, only 13 always discounted

Budget it, label it, then test it

1

Put a budget on discounts

They cost 6.3% of revenue and the rate has not moved in ten years. Set a ceiling as a share of revenue and report discount rate, depth and margin every week.

2

Record why each discount is given

Category, store, customer and year do not explain which sales get one. Add a reason code at the point of sale and compare profit per reason after a quarter.

3

Test a lower cap on the 10 to 20% tier

It holds 61% of discounted lines. Lower the cap in a random half of stores or weeks and compare units and profit. Agree the pass mark first: 16.5% of sales lost breaks even for removing discounts entirely.

Not supported by this data: cutting discounts on Computers and Cell phones only, or building customer-level discount tiers.